Table 4c. Myanmar: Public Sector Debt Sustainability Framework, Baseline Scenario, 2014–2037

(In percent of GDP, unless otherwise indicated)

	Actual					Estimate						Projections			
	2014	2015	2016	Average 5/	Standard Deviation 5/	2017	2018	2019	2020	2021	2022	2017-22 Average	2027	2037	2023-37 Average
Public sector debt 1/	29.9	34.5	35.7			35.4	35.9	36.4	36.9	37.1	37.3		39.1	37.9	
of which: foreign-currency denominated	13.9	15.9	15.6			14.4	14.8	14.4	14.1	13.4	12.7		11.5	9.6	
Change in public sector debt	-3.3	4.6	1.2			-0.3	0.5	0.5	0.5	0.2	0.2		0.3	0.1	
Identified debt-creating flows	-1.9	3.3	1.1			0.0	0.6	0.5	0.5	0.3	0.3		0.2	0.4	
Primary deficit	0.5	4.1	2.0	2.4	2.1	2.9	3.0	3.0	3.0	2.8	2.7	2.9	2.2	1.4	1.9
Revenue and grants	22.0	18.7	18.8			17.2	17.5	17.5	17.0	17.0	17.2		18.3	20.3	
of which: grants	0.3	0.4	0.4			0.6	0.6	0.6	0.6	0.5	0.5		0.4	0.4	
Primary (noninterest) expenditure	22.4	22.8	20.8			20.1	20.5	20.5	19.9	19.8	19.8		20.6	21.7	
Automatic debt dynamics	-2.3	-0.5	-0.8			-2.9	-2.5	-2.5	-2.4	-2.5	-2.4		-2.1	-1.0	
Contribution from interest rate/growth differential	-1.8	-0.4	0.8			-3.8	-2.7	-2.3	-2.2	-2.3	-2.3		-1.6	-0.5	
of which: contribution from average real interest rate	0.7	1.6	2.7			-1.6	-0.4	0.1	0.3	0.3	0.3		0.9	1.4	
of which: contribution from real GDP growth	-2.5	-2.0	-1.9			-2.3	-2.3	-2.4	-2.5	-2.5	-2.6		-2.5	-1.9	
Contribution from real exchange rate depreciation	-0.5	-0.1	-1.6			0.9	0.2	-0.2	-0.2	-0.2	-0.1		...	...	
Other identified debt-creating flows	-0.1	-0.3	-0.1			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Privatization receipts (negative)	-0.1	-0.3	-0.1			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Recognition of implicit or contingent liabilities	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Debt relief (HIPC and other)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Other (specify, e.g. bank recapitalization)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Residual, including asset changes	-1.4	1.3	0.1			-0.3	-0.1	-0.1	-0.1	-0.1	-0.1		0.2	-0.3	
Other Sustainability Indicators															
PV of public sector debt	...	...	34.0			33.5	33.2	33.3	33.3	33.4	33.6		34.9	34.3	
of which: foreign-currency denominated	...	...	13.8			12.5	12.1	11.2	10.6	9.7	9.0		7.3	6.0	
of which: external	...	...	13.8			12.5	12.1	11.2	10.6	9.7	9.0		7.3	6.0	
PV of contingent liabilities (not included in public sector debt)	...	...	...			...	...	...	...	...	...		...	...	
Gross financing need 2/	1.6	5.6	3.4			5.3	5.8	6.2	6.4	6.2	6.2		6.1	5.6	
PV of public sector debt-to-revenue and grants ratio (in percent)	...	...	180.5			194.5	189.9	190.4	196.4	196.5	195.5		190.7	168.9	
PV of public sector debt-to-revenue ratio (in percent)	...	...	184.1			201.5	196.6	197.2	203.0	202.5	200.8		195.0	172.3	
of which: external 3/	...	...	75.1			74.9	71.6	66.6	64.4	59.0	53.9		40.6	30.1	
Debt service-to-revenue and grants ratio (in percent) 4/	4.7	7.2	7.6			13.9	15.6	17.9	20.3	19.9	20.8		21.3	20.8	
Debt service-to-revenue ratio (in percent) 4/	4.8	7.4	7.8			14.4	16.1	18.5	21.0	20.5	21.4		21.8	21.2	
Primary deficit that stabilizes the debt-to-GDP ratio	3.8	-0.5	0.7			3.2	2.5	2.6	2.5	2.5	2.5		1.9	1.3	
Key macroeconomic and fiscal assumptions															
Real GDP growth (in percent)	8.0	7.0	5.9	6.8	2.3	6.7	7.0	7.2	7.3	7.4	7.5	7.2	6.9	5.3	6.4
Average nominal interest rate on forex debt (in percent)	-3.9	-4.1	-3.5	-2.6	1.2	2.4	2.8	2.6	2.4	2.2	2.0	2.4	1.4	0.9	1.3
Average real interest rate on domestic debt (in percent)	3.1	2.1	2.7	-1.7	6.0	-0.3	-0.7	0.0	0.6	0.7	1.3	0.3	2.1	3.8	2.5
Real exchange rate depreciation (in percent, + indicates depreciation)	-3.1	-0.5	-9.2	-4.4	35.8	7.0	...	...	...	...	...	...	...	...	...
Inflation rate (GDP deflator, in percent)	4.2	4.1	3.6	8.0	6.5	6.1	6.7	7.0	6.9	6.7	6.1	6.6	5.3	3.6	4.9
Growth of real primary spending (deflated by GDP deflator, in percent)	16.8	8.9	-3.7	2.3	6.0	3.4	9.1	7.2	4.3	6.5	7.7	6.4	7.6	5.6	7.0
Grant element of new external borrowing (in percent)	...	...	...	...	...	47.6	50.6	49.6	50.4	51.2	49.8	49.9	49.0	47.7	...

Sources: Country authorities; and IMF staff estimates and projections.

1/ [Indicate coverage of public sector, e.g., general government or nonfinancial public sector. Also whether net or gross debt is used.]

2/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period.

3/ Revenues excluding grants.

4/ Debt service is defined as the sum of interest and amortization of medium and long-term debt.

5/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

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Table 4d. Myanmar: Sensitivity Analysis for Key Indicators of Public Debt, 2017–2037

	Projections							
	2017	2018	2019	2020	2021	2022	2027	2037
PV of Debt-to-GDP Ratio								
Baseline	34	33	33	33	33	34	35	34
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	34	33	33	33	33	33	35	36
A2. Primary balance is unchanged from 2017	34	33	33	33	33	34	36	41
A3. Permanently lower GDP growth 1/	34	33	34	34	34	35	39	46
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2018-2019	34	34	36	36	36	37	40	42
B2. Primary balance is at historical average minus one standard deviations in 2018-2019	34	34	35	35	35	35	36	35
B3. Combination of B1-B2 using one half standard deviation shocks	34	34	35	35	35	35	38	39
B4. One-time 30 percent real depreciation in 2018	34	38	37	37	36	36	36	34
B5. 10 percent of GDP increase in other debt-creating flows in 2018	34	38	38	38	38	38	38	36
PV of Debt-to-Revenue Ratio 2/								
Baseline	195	190	190	196	197	196	191	169
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	195	188	188	193	193	193	192	176
A2. Primary balance is unchanged from 2017	195	189	190	195	196	196	197	200
A3. Permanently lower GDP growth 1/	195	191	193	200	202	203	211	224
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2018-2019	195	196	203	212	214	215	218	207
B2. Primary balance is at historical average minus one standard deviations in 2018-2019	195	194	199	205	204	203	196	171
B3. Combination of B1-B2 using one half standard deviation shocks	195	193	198	205	206	206	206	190
B4. One-time 30 percent real depreciation in 2018	195	217	213	216	213	209	195	170
B5. 10 percent of GDP increase in other debt-creating flows in 2018	195	219	218	223	221	219	207	176
Debt Service-to-Revenue Ratio 2/								
Baseline	14	16	18	20	20	21	21	21
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	14	16	18	20	20	21	22	20
A2. Primary balance is unchanged from 2017	14	16	18	20	20	21	21	22
A3. Permanently lower GDP growth 1/	14	16	18	21	20	21	23	24
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2018-2019	14	16	19	21	21	22	23	23
B2. Primary balance is at historical average minus one standard deviations in 2018-2019	14	16	18	21	20	21	21	21
B3. Combination of B1-B2 using one half standard deviation shocks	14	16	18	21	20	21	22	22
B4. One-time 30 percent real depreciation in 2018	14	17	21	23	22	23	23	22
B5. 10 percent of GDP increase in other debt-creating flows in 2018	14	16	18	21	20	21	22	21

Sources: Country authorities; and IMF staff estimates and projections.
1/ Assumes that real GDP growth is at baseline minus one standard deviation divided by the square root of the length of the projection period.
2/ Revenues are defined inclusive of grants.

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